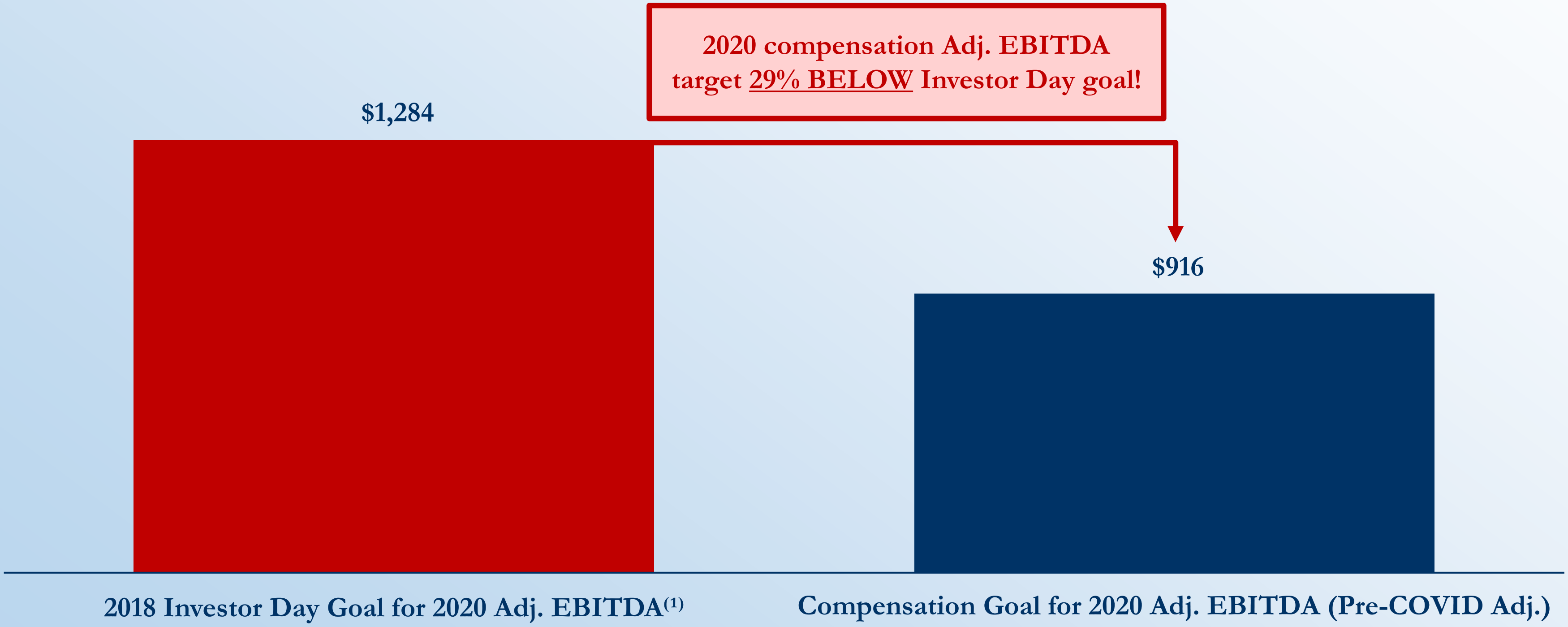
Compensation Targets Used to Determine Management's Annual Cash Bonus Were Set Significantly Below Investor Day Commitments

2020 Adjusted EBITDA compensation targets, used to determine management's annual cash bonuses, were set significantly below the Company's 2018 Investor Day goals, which we believe perpetuated a lack of management accountability for delivering on shareholder commitments.

2018 Investor Day Adjusted EBITDA Target Versus Annual Cash Bonus Target

($ in millions)



The Board failed to hold management accountable.

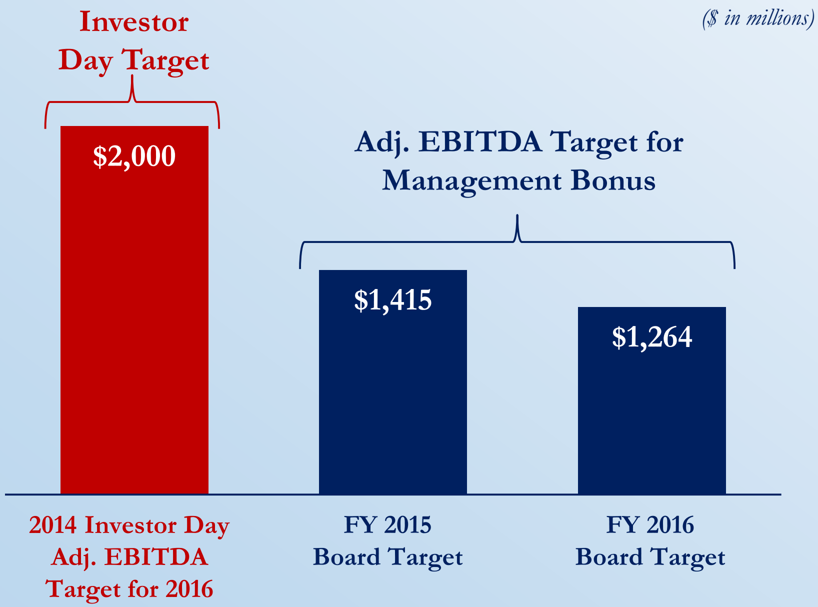
Source: Public company filings. (1) 2020 target calculated by taking 2017 Adjusted EBITDA pro forma for the sale of Chemical Intermediates (i.e. $1,040 million) then adjusting for the impact of one-time events as disclosed on pg. 18 of the Company's 2018 Investor Day presentation, which results in pro forma 2017 Adjusted EBITDA of $965 million. We then apply a 10% growth rate over three years, consistent with management targets in the Company's 2018 Investor Day presentation.

The Board Has a History of Setting Management's Compensation Targets <u>BELOW</u> Goals Communicated to Shareholders

The Board has consistently set management's compensation targets meaningfully below goals communicated to shareholders, which <u>we believe severely reduces management accountability.</u>

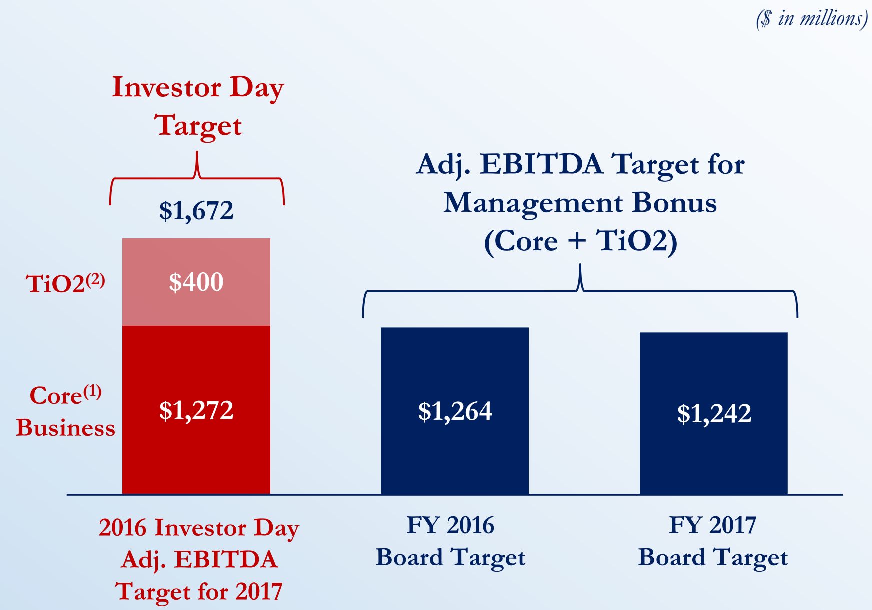
Investor Day Adjusted EBITDA Targets Versus Annual Cash Bonus Targets

2014 Investor Day Target



Compensation goals <u>DECLINING</u> and <u>BELOW</u> Investor Day Target

2016 Investor Day Target



Compensation goals <u>DECLINING</u> and <u>BELOW</u> Investor Day Target

The Board has a history of failing to hold management accountable for commitments to investors.

Source: Public company filings. (1) Huntsman sold its European differentiated surfactants business to Innospec on December 30, 2016. The business contributed $28 million of EBITDA in 2016 per the Company's Q4 2017 8-K filing, which is calculated as the difference between Adjusted EBITDA and pro forma Adjusted EBITDA as disclosed on page 6 of the filing. As a result, because the Company $1,300 million Adjusted EBITDA target had been set before the divestiture of the European differentiated surfactants business, we reduce the target by $28 million. (2) 2017 "Normalized" Adjusted EBITDA target per the 2016 Investor Day.

As an Example, We Believe the Board's 2015 Adjusted EBITDA Bonus Target Was Incredibly Disingenuous

We believe there was a highly concerning inconsistency between how the Board set management's 2015 Adjusted EBITDA compensation targets and management's public comments to shareholders.

Comments to Shareholders in Late-2014 / Early-2015

"**Our LTM is about $1.4 billion.** We have an objective to go to $2 billion of EBITDA. Many of our businesses are sort of at that level…**But really, on track we think near term to get to that $2 billion of EBITDA**."

Kimo Esplin, CFO
December 2014

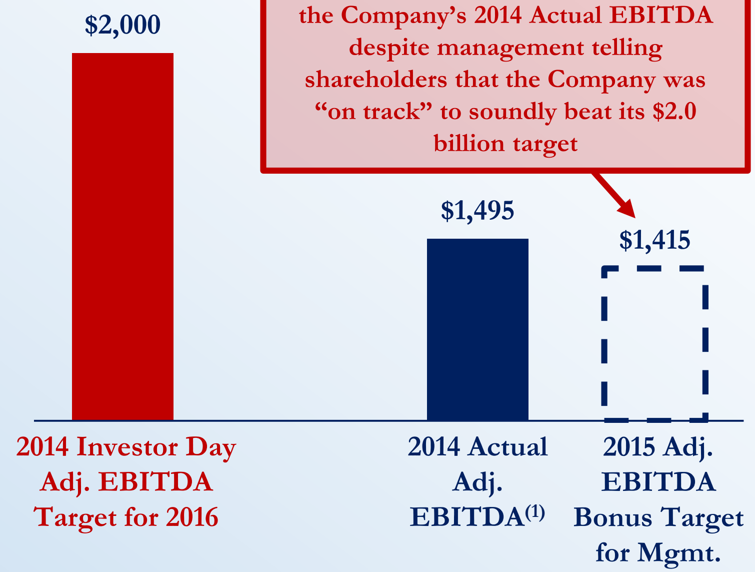
"**I would say that we should quite soundly beat the projections that we gave for the $2 billion.** Again, we still have a great deal of confidence in the $2 billion number…**I think that when we look at the overall composite, we still feel very confident about that.**"

Peter Huntsman, President & CEO
February 2015

In late-2014 / early-2015, management expressed a strong outlook for the Company's Adjusted EBITDA

Highly Questionable 2015 Annual Bonus Target

The Board set a 2015 Adj. EBITDA target for management LOWER than the Company's 2014 Actual EBITDA despite management telling shareholders that the Company was "on track" to soundly beat its $2.0 billion target



Yet, the Board set Adjusted EBITDA targets for 2015 below 2014's actual results

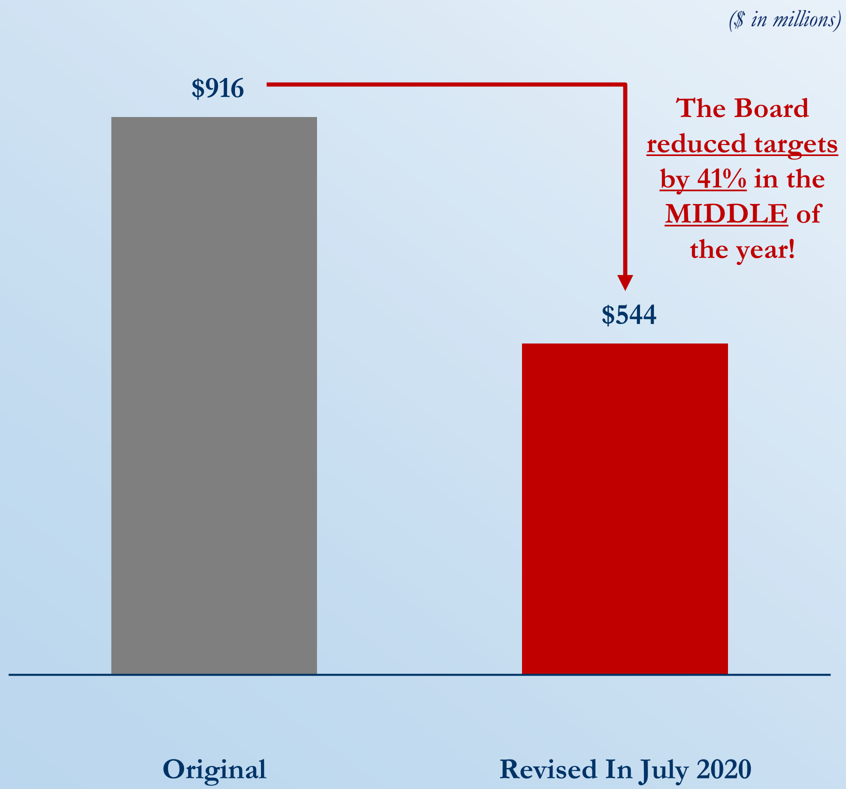
We believe the Board's 2015 compensation target for management is part of a broader, more concerning trend.

Source: Public company filings, presentations, and transcripts. (1) Pro forma for acquisition of Rockwood's Performance Additives and Titanium Dioxide business, Adjusted EBITDA reflects contribution from the Rockwood asset as if it had been acquired on January 1, 2014. The acquisition closed on October 1, 2014.

Further, the Huntsman Board Was the Only One Among Proxy Peers To Reduce Annual Cash Bonus Targets in 2020

Not only did the Board choose to reduce management's Adjusted EBITDA target by 41%, but Huntsman was also the only company among Proxy Peers to make such a reduction.

2020 Corporate Adj. EBITDA Target



No Proxy Peers Reduced Compensation Targets

	Maintained Annual Bonus Targets During COVID?
APD(1)	✓
AVY	✓
CC	✓
CE(2)	✓
ECL(3)	✓
EMN	✓
LYB	✓
MOS	✓
OLN	✓
PPG(4)	✓
RPM(5)	✓
SEE	✓
SHW	✓
WLK	✓
HUN	✗

In contrast to its Proxy Peers, Huntsman not only revised full year 2020 short-term compensation targets, but did so after more than half the year had been completed.

Source: Public company filings. (1) Included a material COVID-related adjustment to EPS actuals when determining performance against compensation operating targets in FY20 (fiscal year ended 9/30). (2) Targets were not revised, but payout percentage was increased after considering strategic priorities and objectives in light of the pandemic. (3) Disclosed that in February 2020, the Board intended to revise targets following the close of its ChampionX acquisition. ChampionX closed in June 2020, at which point targets were reset to account for the inclusion of ChampionX in the Company's results. (4) Targets approved in April 2020. (5) Fiscal year ended May 30, 2021.